

25STCV35278 25STCV35278

County: los-angeles

Division: Civil Law and Motion

Department: 415

Hearing date: 2026-07-01

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C415%2C07%2F01%2F2026

Source SHA-256: 70fb12372be3cd992bdc7f40397f96b225eac185f70a0a0f4f5b7dfcb0f7d143

Case Number: 25STCV35278 Hearing Date: July 1, 2026 Dept: 415

TENTATIVE RULING

DEPARTMENT

39

HEARING DATE

July 1, 2026

CASE NUMBER

25STCV35278

MOTION

Demurrer to Complaint

MOVING PARTIES

Defendants Chicago Title Company and Chicago Title
Insurance Company

OPPOSING PARTIES

Plaintiffs CMTG

JPM Term Funding LLC and CMTG California 2, LLC

MOTION

Plaintiffs CMTG

JPM Term Funding LLC and CMTG California 2, LLC ("Plaintiffs") sued Defendants Chicago Title Company and Chicago Title Insurance Company ("Defendants") contending Defendants breached insurance contracts with Plaintiffs. Defendants have demurred to the operative complaint, and Plaintiffs oppose the motion.

ANALYSIS

"It is black

letter law that a demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) In ruling on a demurrer, the court must "liberally construe[]" the allegations of the complaint. (Code Civ. Proc., § 452.) "This rule of liberal construction means that the reviewing court draws inferences favorable to the plaintiff, not the defendant." (Perez v. Golden Empire Transit Dist. (2012) 209 Cal.App.4th 1228, 1238.)

First and Second Causes of

Action: Breach of Contract and Tortious Breach of Contract

Plaintiffs

essentially assert two causes of action for breach of contract. In this regard, Plaintiffs allege Defendants provided title insurance policies to Plaintiffs concerning certain real properties to Plaintiffs; Defendants thereafter failed to indemnify and defend Plaintiffs, as those policies required; and Defendants tortiously breached the implied covenant of good faith and fair dealing by, for example, wrongfully and in bad faith refusing to honor its obligations, refusing to pay defense costs and expenses, fraudulently misrepresenting and falsely promising to defend Plaintiffs when Defendants had no intention of doing so, not responding to Plaintiffs' communications, and placing its own interests above Plaintiffs' interests. (Complaint, ¶¶ 7-23.)

For pleading

purposes, these allegations suffice, especially because Plaintiffs are entitled to plead breach of contract in general terms.

(Ochs v. PacificCare of Cal. (2004) 115

Cal.App.4th 782, 795.) Defendants

may obtain further information regarding Plaintiffs' claims through the discovery

process. (Khoury v. Maly's of Cal., Inc. (1993) 14 Cal.App.4th 612, 616 (Khoury).) Therefore, the demurrer to the first and second causes of action for breach of contract is overruled.

Third Cause of Action: Violation
of Business and Professions Code Section 17200

Unlike for the
breach of contract claims, for a violation of Business and Professions Code section 17200, Plaintiffs must allege "with reasonable particularity the facts supporting the statutory elements of the violation." (Khoury, supra, 14 Cal.App.4th at p. 619.) In this regard, Plaintiffs
allege Defendants' "bad faith refusal to comply with its duty to defend the Claims was unlawful and constituted a tortious breach of the subject Policies as hereinabove alleged." (Complaint, ¶ 29.) First, Defendants' alleged breach
of its policies is not inherently fraudulent. Plaintiffs allege no facts with reasonable particularity to suggest Defendants intended to breach these policies at the time Defendants issued them. Likewise,
Plaintiffs allege no facts to support their claim Defendants' conduct was somehow unfair, unlawful, deceptive or misleading under Business and Professions Code section 17200.

Therefore, the Court
sustains the demurrer to the third cause of action but will provide Plaintiffs
an opportunity to amend the claim.

CONCLUSION AND ORDER

Defendants'
demurrer to Plaintiffs' third cause of action is sustained with leave to amend.
The demurrer is otherwise overruled. Plaintiffs are to file an amended complaint
within 20 days of notice of this order.

Defendants are
ordered to provide notice of the Court's ruling and to file proof of service of
same.